VENEZUELA HAS REACHED AN ECONOMIC COLLAPSE

Venezuela was once boasted Latin America's richest economy - boosted by the biggest oil reserves on the planet. Today, the country's own currency is so unimportant that most transactions are conducted in US dollars.

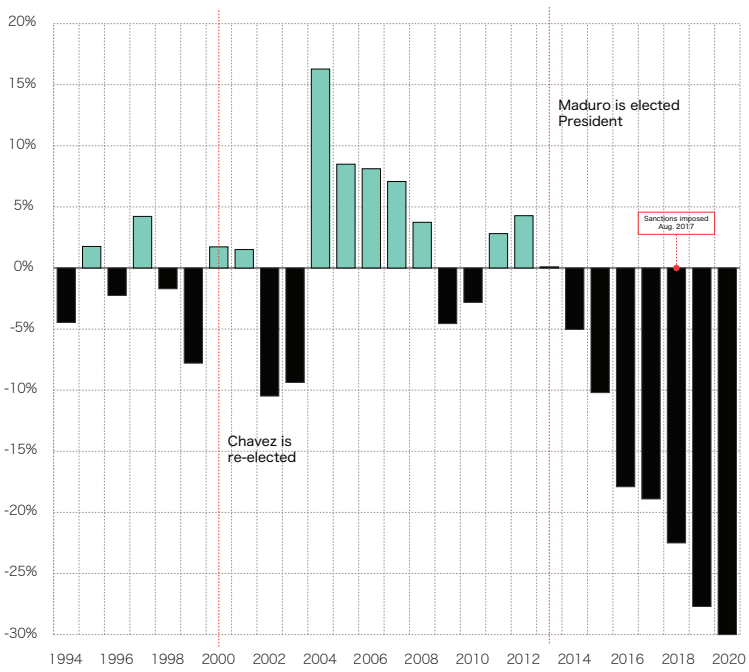
Despite crime and violence still present, and shortages of food and power continue to ravage the country, the biggest problems Venezuelans face is **hyperinflation.**

Under former president Hugo Chávez, who died in 2013, and current President Maduro, corruption, mismanagement and high levels of debt have led the country's economy to collapse. President Chávez took advantage of the oil boom in the 2000s to borrow heavily and government spending soared. Then, during President Maduro's first term in office, the Venezuelan economy went into **freefall**.

President Maduro blames "imperialists" - the likes of the US and Europe - for waging "economic war" against Venezuela and imposing sanctions on many members of his government. But Venezuela's **economic downfall began before sanctions** were enacted.

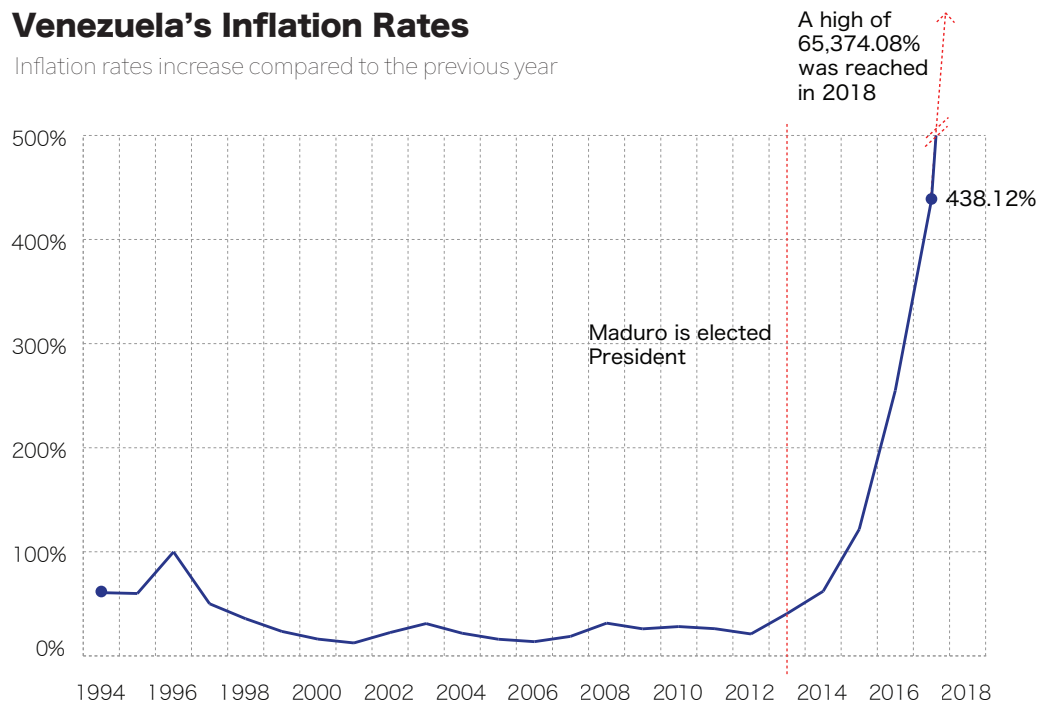
Annual growth of GDP per capita

Percentage of real gross domestic product growth, from 1994 to 2020.



Venezuela's Inflation Rates

Inflation rates increase compared to the previous year



Source: The International Monetary Fund (IMF)

Graphs by: Daniela Gonzalez

HOW IS THIS **HYPERINFLATION** AFFECTING THE DAY-TO-DAY OF VENEZUELANS?

Venezuela's hyperinflation is on track to become the longest period of runaway price rises since that in the Democratic Republic of Congo in the 1990s.

By the end of 2017, prices were doubling every 19 days on average. This left many Venezuelans struggling to afford basic items such as food and toiletries.

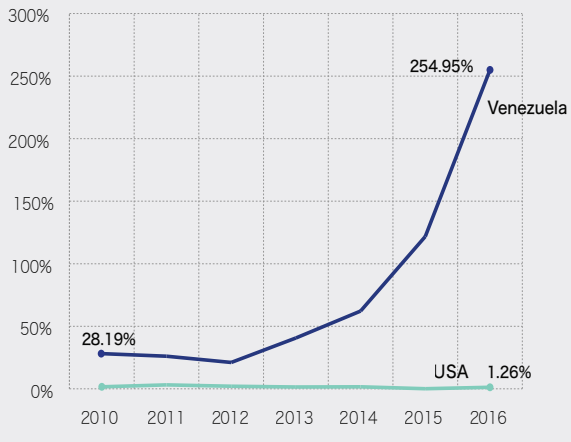
A recent survey found that 90 percent of the population lives in poverty with 60 percent saying they wake up hungry because they are unable to purchase food.

In addition to this, many businesses only accept U.S dollars, and access to dollars is often limited to people with ties to the government or those involved in illicit businesses leaving ordinary people to fend for themselves.

Sadly, current president Maduro does not seem inclined to steer away from his course of price controls and economic mismanagement, so the standard of living in the country is not expected to improve significantly anytime soon.

Comparison of Annual Inflation of Consumer Prices

Annual changes in the cost to the average consumer of acquiring a set basket of goods and services.

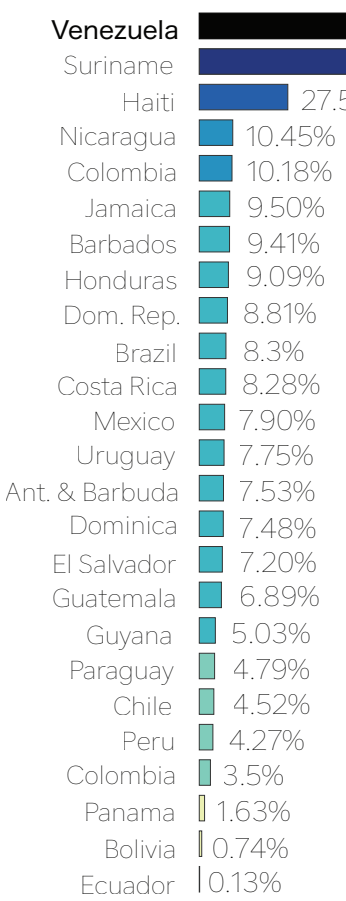


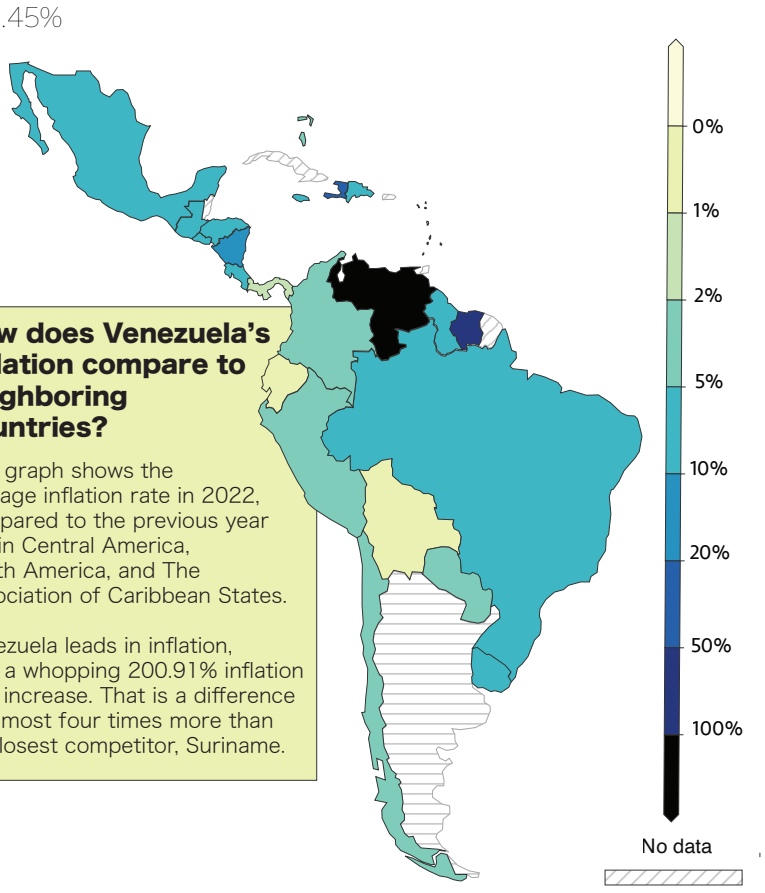
Source: World Bank Data

Graph by: Daniela Gonzalez

International Inflation Rates in 2022

Average inflation rates in 2022, compared to 2021.





How does Venezuela's inflation compare to neighboring countries?

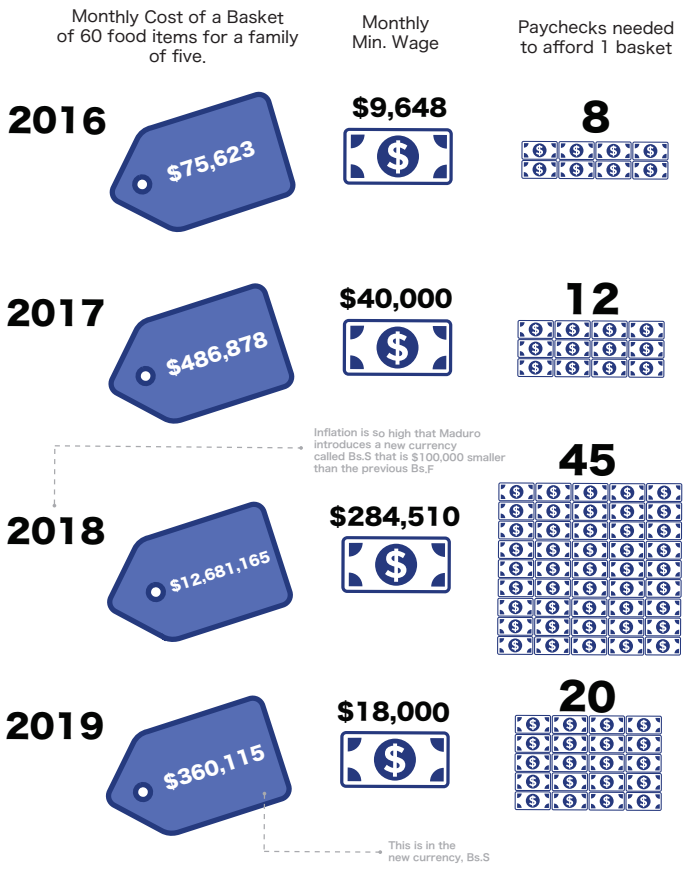
This graph shows the average inflation rate in 2022, compared to the previous year within Central America, South America, and The Association of Caribbean States.

Venezuela leads in inflation, with a whopping 200.91% inflation rate increase. That is a difference of almost four times more than its closest competitor, Suriname.

Source: The International Monetary Fund (IMF)

CAN FAMILIES **AFFORD FOOD?**

With the soaring inflation, and the Venezuelan currency practically worthless, ordinary people are paying a heavy price.



Source: Venezuela's Centre of Documentation and Analysis for Workers

Illustration by: Daniela Gonzalez